

Company Overview

Business Overview Shriram Transport Finance Company Ltd is a part of the SHRIRAM Group conglomerate which has a significant presence in the financing business. STFC is engaged in t

Key Financial Ratios Table

Year	NPM %	ROE %	D/E	Interest Coverage	Asset Turnover	FCF (Cr)
2024	20.3%	15.1%	3.99	0.7	0.15	-31359.0
2023	19.7%	13.8%	3.77	0.7	0.14	-12549.0
2022	14.1%	10.4%	4.40	0.4	0.14	-8893.0
2021	14.3%	11.5%	4.91	0.4	0.13	-4264.0
2020	15.2%	13.8%	5.22	0.4	0.14	-2519.0
2019	16.6%	16.1%	5.51	0.5	0.15	-5611.0
2018	18.9%	18.6%	6.00	0.6	0.14	-13056.0
2017	11.6%	11.2%	4.68	0.4	0.15	-2679.0
2016	11.4%	11.6%	4.89	0.4	0.15	-5543.0
2015	11.2%	11.1%	5.04	0.4	0.15	-9656.0

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Qualitative Investment Insights

Strengths (Pros):

- Revenue growing at above 15% CAGR over 5 years (18.6%) reflects strong business momentum
- Operating profit margin above 25% indicates strong pricing power and cost discipline
- Net profit compounding at above 20% over 5 years creates significant shareholder value

Risks & Concerns (Cons):

- Free cash flow negative for 3 consecutive years raises concern about cash generation quality
- Interest coverage ratio below 1.5x indicates the company is at risk of not meeting its debt obligations
- Net debt exceeding 3 times EBITDA is a high leverage ratio and limits financial flexibility